



Measuring Business Performance

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Chapter #05

INTRODUCTION:

- Organizations use **performance measurement** to track progress. Advanced systems provide real-time data, while others assess progress periodically.
- Moving from departmental work to managing entire processes helps align operational and financial goals.



KEY MEASUREMENT TERMS:

Unit of Measure	Type of data tracked
Target	Specific goal (e.g., \$28M cash flow)
KPI	Metric used to track performance
Vision	Long-term goal (e.g., profitability by 2025)
Objective	Measurable target with a deadline

EXTERNAL AND

INTERNAL

External Measures

Focus on results (e.g., income, customer satisfaction)

Internal Measures

Focus on internal processes (e.g., efficiency, quality)

MEASURES:

LEADING AND

LAGGING

Leading Indicators	Predict future outcomes (e.g., number of sales calls)
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Lagging Indicators	Show past results (e.g., quarterly sales)
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INDICATORS:

MEASUREMENT SYSTEM:

- **Developing a comprehensive measurement system**



Many organizations fail to organize all their performance measures into a clear system, leading to confusion among managers and employees. They might set goals for different departments or customers but not for processes, or focus on financial goals without connecting them to the processes that drive success. A clear system links strategic goals, stakeholder needs, and internal process goals.

BALANCED SCORECARD:



A tool for aligning organizational actions with strategic goals. It includes financial, customer, internal process, and innovation perspectives to improve performance.

Perspectives:

1. Financial: ROI, cash flow
2. Customer: Satisfaction, retention
3. Processes: Efficiency, quality
4. Innovation: New products, employee training

LINKING

- Effective implementation of the Balanced Scorecard requires linking performance measures directly to corporate strategies.
- This involves defining specific goals for each of the four perspectives that align with strategic objectives. Kaplan and Norton introduced Strategy Maps to visually depict these linkages.



STRATEGY MAPS:

Visualize relationships between objectives across four Balanced Scorecard perspectives. Benefits include better goal clarity, communication, and performance tracking.

Strategy Map & Balanced Scorecard

	Strategy Map	Balanced Scorecard	
	Objectives	Measures	Targets
Financial Perspective	↑ ↑ ↑		
Customer Perspective			
Process Perspective			
Learning & Growth Perspective			

FUNCTIONAL VS

PROCESS GOALS:

Functional goals focus on the specific targets of individual departments, often prioritizing their own success.

- Process goals emphasize collaboration and alignment among departments to achieve the overall objectives of the organization.
- Focusing too much on functional goals can create silos, making it harder for departments to work together effectively.

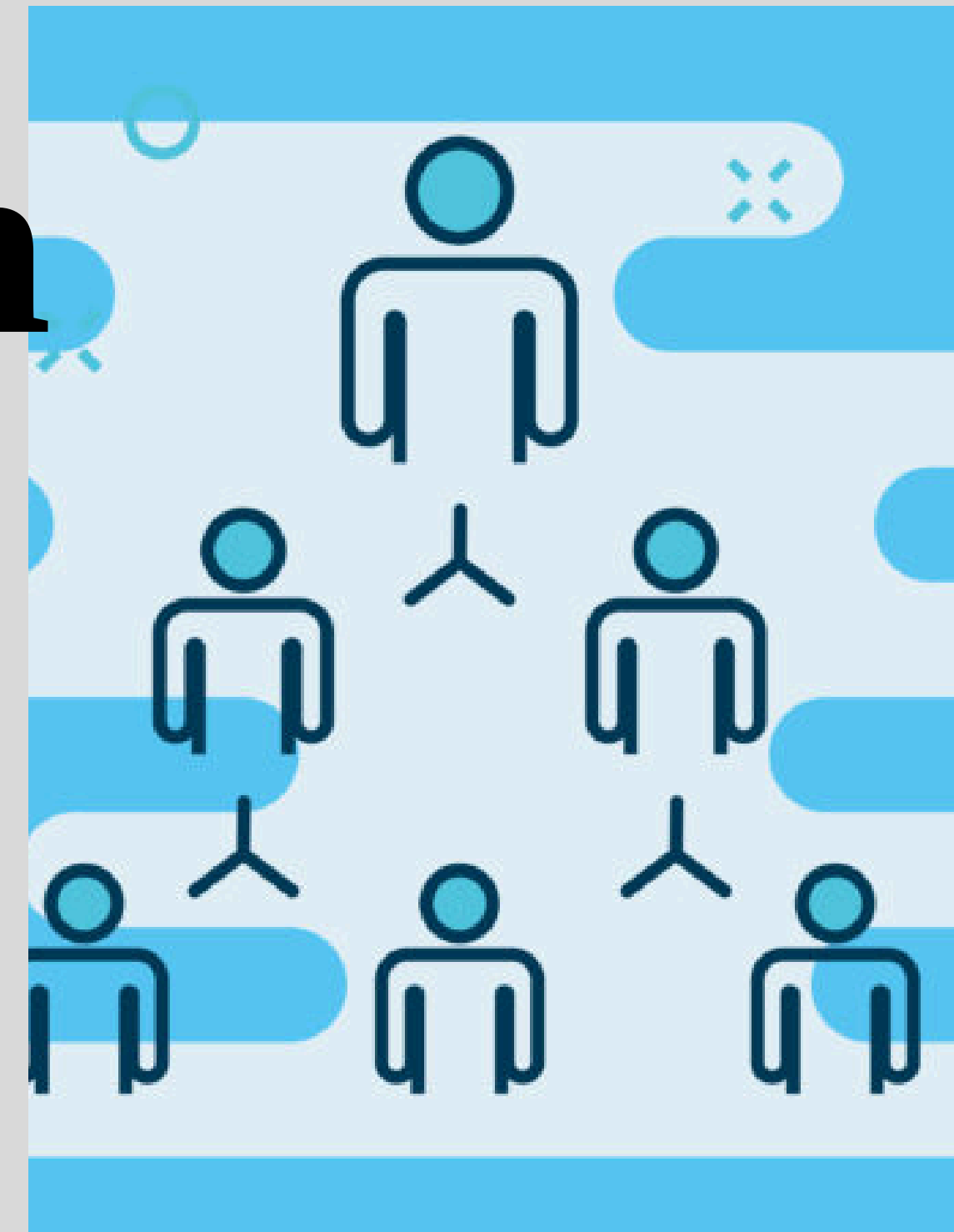


Matrix

Organization

Approach:

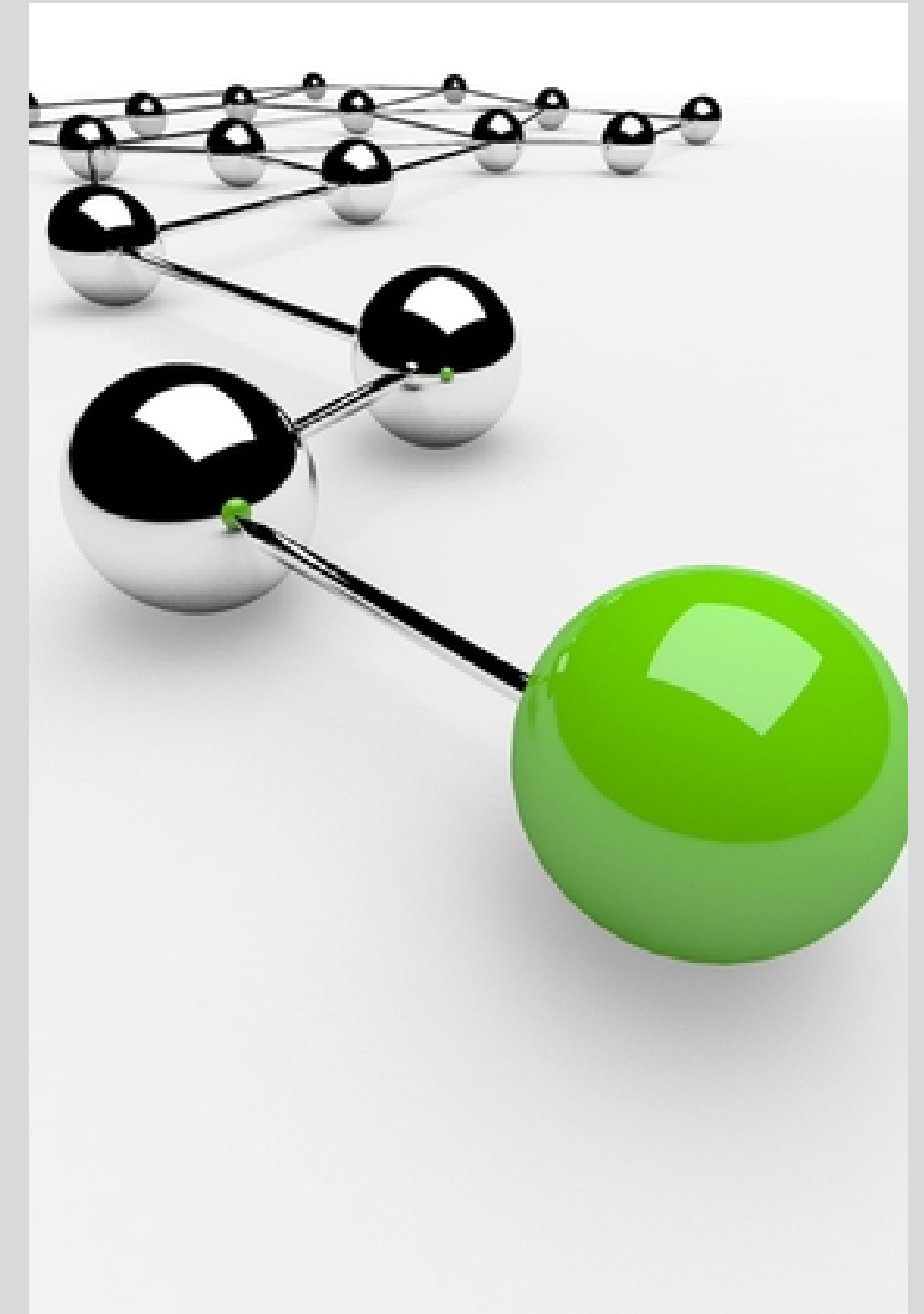
- Matrix structures hold managers responsible for both their specific functions and overall processes.
- This approach encourages teamwork and communication across departments.
- It helps break down barriers, leading to better problem-solving and faster responses.



Aligning Process

Measures:

- Boeing's C-17 project is a sync process-oriented approach, linking each core process with contracts that outline expectations.
- This system helps managers know their responsibilities and enhances accountability across the entire project.
- If there's a failure to meet contract obligations, it can be quickly spotted and fixed, improving overall performance.



DERIVING MEASURES

FROM BUSINESS

PROCESS

FRAMEWORKS:



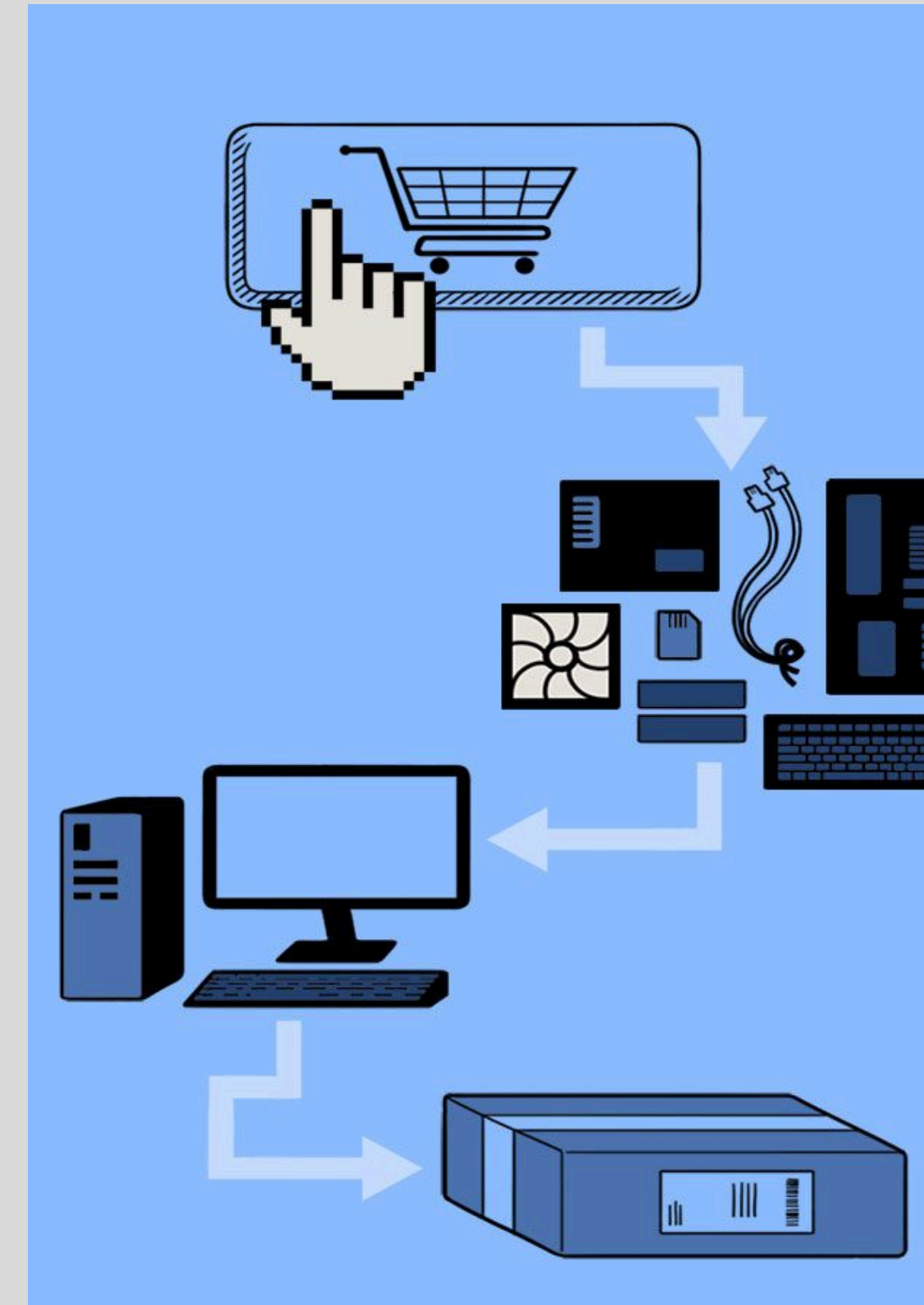
- SCOR identifies five main performance attributes for assessing supply chain effectiveness, including customer-facing and internal measures.

- It provides clear definitions, metrics for evaluation, and calculation methods for each process.

- Using SCOR helps companies create an organized structure for their processes and measure performance effectively.

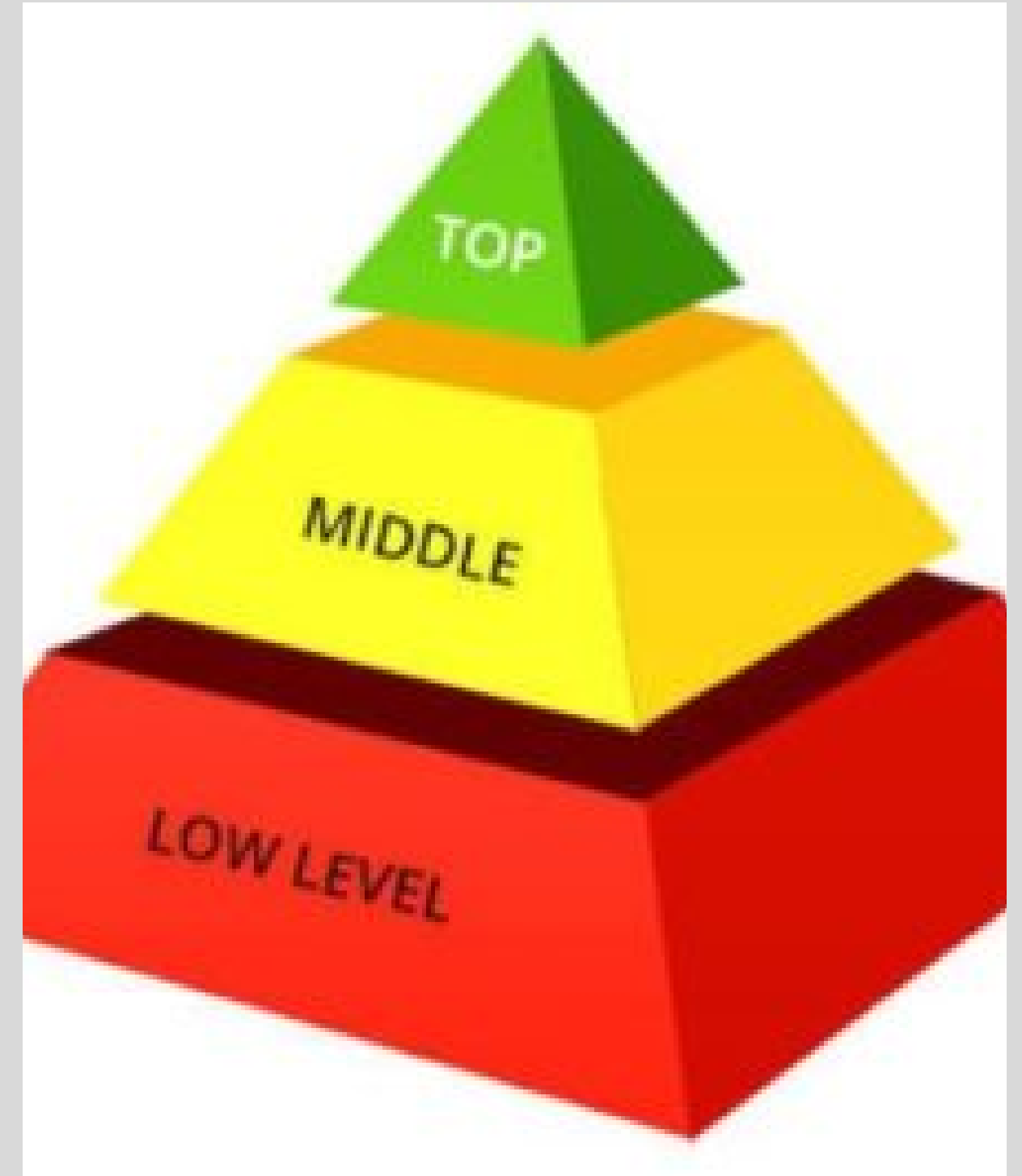
Level:2 Make Process Variations:Make-to-Order

- In the SCOR framework, Level 2 refers to the specific processes that support the high-level processes defined at Level 1.
- Make to Order (MTO): Products are only manufactured after receiving a customer's order, allowing for customization but potentially longer lead times.
- These variations help organizations choose the right production strategy based on demand, lead times, and customer preferences.



Level 3:Schedule production sub-process_Variation:

- Level 3 subprocesses for "Schedule Production" include detailed scheduling based on demand and resources.
- Dynamic scheduling allows for real-time adjustments to production plans.
- Capacity-constrained scheduling prioritizes production when resources are limited.
- Batch scheduling optimizes production by organizing it in groups, reducing changeover times.



Putting it all together:

- Many companies are still experimenting with process management and often have performance measures only at lower process levels, lacking metrics at the value chain level.
- These measures are rarely integrated with strategic goals.
- In contrast, companies like Boeing GMS have advanced systems that align performance from top management down to individual processes, using contracts for clear traceability.

COMPLETING THE BUSINESS PROCESS ARCHITECTURE WORKSHEET:

- The business process architecture analysis starts with Level 1 worksheets to define operational processes within the value chain.
- Level 2 worksheets focus on detailing specific Level 1 processes and outlining their operational details.
- It's essential to identify the manager responsible for each process.
- Metrics should be established to assess whether processes meet their goals and to evaluate the effectiveness of the managers.



ANY QUESTION



A photograph of a desk setup. A light-colored rectangular card with the words 'THANK YOU' in bold, dark blue, sans-serif capital letters is centered. The card is placed on a light brown wooden surface. To the left of the card is a blue folder with a green spine. Several colorful paper clips (pink, blue, yellow) are scattered around the card and folder. The entire scene is framed by a solid purple border.

THANK YOU